On the Thai border, ethnic Karen, Shan, and Mon rebels were allowed to set up bases, and buy supplies and weapons from the Thai side. The Thais wanted a border buffer between themselves and their historical enemy, Myanmar, which had invaded their country in the past and had sacked the old capital of Ayutthaya in 1767. While such concerns may seem anachronistic in today's world, they were real enough for the Thais.

In the west, near the border with East Pakistan (later Bangladesh), Muslim guerrillas from the Rohingya community in Myanmar's Rakhine State have been active since Myanmar became independent from Britain in 1948. India never supported any rebel movement in Myanmar, but gave asylum to U Nu, who was ousted by General Ne Win in 1962. During a pro-democracy uprising in August–September 1988, the activists received moral support from Indian authorities.

The situation in Myanmar's border areas changed dramatically when, in March–April 1989, the once powerful CPB collapsed after a mutiny among the rank-and-file of the party's army, most of whom were Wa tribesmen. The Wa were headhunters who lived in the mountains straddling Myanmar's northeastern border with China and had been recruited into the communist army without having any clear idea of the ideology for which they were fighting and dying. Almost the entire old leadership fled to China, where they were given asylum. The CPB subsequently broke up into four ethnic armies, of which the United Wa State Army (UWSA) is by far the strongest.

The 1989 CPB mutiny actually suited China's interests, and there are strong suggestions that China's clandestine services actively encouraged the Wa and others to rise up against their leaders. In view of Deng's new polices, which emphasized trade and economic expansion, the CPB's old leadership, which remained staunchly Maoist, had become a liability.

In the years following the CPB mutiny, trade between China and Myanmar blossomed. China flooded Myanmar's markets with cheap consumer goods and imported mainly raw materials such as timber and minerals. The annual exchange of goods soon reached the US$ 1 billion mark. The surge in bilateral trade between Myanmar and China was facilitated by Western sanctions and boycotts, which at that time were in force because of the Myanmar government's gross violations of human rights. China did not have to face any competition and became Myanmar's most important foreign trade partner.